

Meridian Actuarial Advisors LLC

www.meridianactuarial.com

January 25, 2019

Barbara Hall
Chief Operating Officer
Estes Group

Dear Ms. Hall:

This letter confirms the terms on which we will carry out an experience study of your benefit plan, and it asks for your signature so that we can begin. It follows the conversation we had this winter about reviewing how the plan's actual experience compares with the assumptions now in use. None of what follows should surprise you; it puts in writing what we discussed, so that you and we work from the same record from the first day of the study to the last. We have set out what the study covers, how we will do it, who will do the work, and what it will cost.

What the Study Covers

An experience study looks back at what the plan's members actually did and compares it with what the current assumptions predicted. We will examine the plan's recent experience in the areas that drive its cost: retirement, termination, disability, mortality, and the pattern of salary increases. For each of these, we will measure the experience the data show, weigh it against the assumption in force, and tell you where the two diverge by enough to warrant a change. We will not recommend a change where the experience does not support one, and we will say so plainly when that is the case.

The study has four parts, and our report will document each of them:

- The member and financial data your office provides, which we reconcile and rely upon, with that reliance stated plainly in the report.
- The current assumptions and the plan provisions that bear on them, taken as they are written today.
- The measured experience over the study period, tabulated so that a reader can trace each rate back to the counts beneath it.
- Our recommendations, set apart from the measurements so that no one mistakes a judgment for a fact.

How We Will Do the Work

We keep three things separate in everything we deliver, and this study is no exception. What the data show is one thing. What we have assumed is a second. What we conclude is a third. The report will present them in that order and keep them apart, so that you can see which of the three any recommendation rests on. A recommendation to change an assumption will name the experience that supports it and the judgment we brought to it, and it will never dress one up as the other. The work will be performed under the Actuarial Standards of Practice that govern an experience study of this kind.

You will receive two things at the end. The first is a written report that sets out the experience we measured, the assumptions we reviewed, and the changes we recommend, with the reasoning for each. The second is a workbook of exhibits that supports every rate in the report, so that your own advisors can follow the arithmetic. We will also present the results to your board once and answer the questions that come out of that meeting.

The Data We Will Rely On

A study is only as sound as the records under it. We will rely on the member data and the financial records that your staff at Estes Group provide, and we will reconcile them before we use them. We do not audit your data. What we do is check it for internal consistency and against the prior study, and document what we relied on, so that the basis of the work is visible to anyone who reads it. Where a record is unclear, we will come back to you rather than guess, because a study built on a guess is worth less than one that waited a week for the answer.

Who Will Do the Work

David Sherman, a senior analyst in our firm, will build and reconcile the study workbook and document the data we rely on. Jeffrey Ochoa, an actuarial analyst, will carry the modeling and run the observed experience against the current assumptions, chasing any surprising result back to the input that produced it. Megan Dudley, an actuarial associate, will prepare the exhibits and the data checks that sit beneath their work. I will review what they produce and sign the study. The professional responsibility for what we conclude is mine, and I take it seriously enough to send drafts back until the qualifications are right.

Our Fee and When We Begin

Our fee for the study is \$65,000, which covers the work described above through delivery of the report and one presentation of the results to your board. Subject to

your signature on this letter, we will begin the work on February 4, 2019. Our first step is to request the member and financial data and to confirm the plan provisions the assumptions rest on. If the scope grows beyond what is set out here, we will agree the change and any added fee with you in writing before we do the added work, so that no invoice ever arrives for something you did not expect.

Billing and Payment

We invoice monthly for the prior month's work, and each invoice is due within thirty days of its date. If a question about an invoice comes up, tell us and we will work it through before it becomes a dispute.

Term and Termination

This agreement takes effect on the date you sign it and runs until we have delivered the study and you have paid our final invoice for it. Either of us may end it earlier on written notice to the other. If the engagement ends before the study is finished, you will owe us for the work done up to that point, and we will hand over what we have in a form you can use.

Confidentiality

We will hold what you give us in confidence and use it only for this study. Inside the firm, access is limited to the people named above and to anyone whose work on the study requires it. We will not disclose your information outside the firm without your consent, except where the law or our professional standards require it, and if that happens we will tell you unless we are barred from doing so.

Limitation of Liability

Our liability to you arising out of this engagement, whether framed in contract or in negligence, will not exceed the total fees you pay us under it, except in the case of our fraud or willful misconduct. Neither of us will be liable to the other for indirect or consequential loss. Any claim must be brought within one year of the delivery of the report.

Governing Law

This agreement is governed by the law of the state in which our office sits, without regard to its conflict-of-laws rules. Before either of us starts a proceeding, we will try to settle the matter through discussion between people who have the authority to resolve it.

If these terms match your understanding, please sign both copies where shown, keep one for your records, and return the other to me. If anything here reads differently from what you expected, call me before you sign and we will settle it first. We are glad to be doing this work for you, and we will give it the care it deserves.

Sincerely,

Robert Lawrence

Managing Actuary

Date: January 25, 2019

Barbara Hall

Chief Operating Officer, Estes Group

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